

point that I got out of one of your first two *Market Wizards* books. Mean reversion partially fit my personality, but because people knew about it, it didn't fully fit my personality. So I looked for other ways to crunch the numbers that would be neither trend following nor mean reversion.

Without giving away trade secrets, what is the essence of that third approach?

I was trying different combinations of secondary variables that I generate from the daily price data.

Can you give me an example of what you mean by secondary variables?

An example would be a volatility measure, which is a data series that is derived from price, but has no direct relationship to price direction. I got the idea for secondary variables from Bill James.

What is the connection between what Bill James did with baseball statistics and what you call secondary variables?

James was taking the basic data and formulating different types of statistics that were more informative, and I was taking the price data and defining different quantifications derived from that data, that is, secondary variables, that could be combined to provide useful market signals.

Are all your secondary variables derived just from daily open, high, low, and close price data?

Absolutely. That is all I am using.

You don't throw in any other statistics, such as GNP or any other economic variables?

If I could, I would. I actually tried that, but I couldn't get it to work.

How would generating these secondary variables give you a trading system?

I combined different secondary variables into trend-neutral models.

What do you mean by a trend-neutral model?